

HONA pitch deck

PITCH — HONA — PROPOSED VERDICT

PROPOSED — PENDING ADJUDICATION: Do not buy today. Re-open with a starter position of at most 1.5% of the book only if the stock trades at or below ~\$152 (confirming a forward P/E under 17× at the moment of entry), or after the November 4, 2026 report if organic growth of 4–5% and free cash flow hold with no further guidance cut.

What we believe

Honeywell Aerospace (HONA) is a newly spun-off, high-quality aerospace franchise — record backlog reported up 9%, orders up 8% — that stumbled badly in its first quarter as a standalone company. Management cut its full-year operating-profit guidance by roughly \$300 million because a shortage at a small number of casting suppliers (about 2% of the supply base) is starving the high-margin aftermarket business. We believe the underlying demand is real and the lost profit is mostly deferred rather than destroyed: planes still need these parts, and the backlog did not shrink.

But we also now believe — after our own court process corrected us twice — that this is not the screaming bargain our original write-up described. The company carries roughly \$14.8 billion of net debt (it issued \$16 billion of bonds at the spin and sent \$15.1 billion of the proceeds to its former parent, Honeywell). Including that debt, the whole business is valued at about \$68 billion, which works out to roughly 15.5× this year's cut operating-profit guidance and about 21.7× guided earnings per share at the recent ~\$168.51 price. That is cheap **relative to peers** — GE Aerospace, Safran, and RTX trade 25–50% higher on the same measures — but it is not distressed. The discount is at least partly fair compensation for leverage near 2.9× cash earnings (peers run 1–2×) and for a management team that cut guidance eight weeks after its Investor Day.

Net: the right posture is patience with pre-set triggers, not a purchase today.

What the market believes

The market's verdict has been harsh and, importantly, was forming **before** the bad quarter. From its post-spin high of \$297.50, the stock had already fallen about 32% by August 5. The earnings report on August 6 — the guidance cut of roughly 11–14% versus the analyst consensus of \$8.86 in earnings per share — knocked it down a further ~25% intraday to a low near \$150, since retraced partially to ~\$168.51. The stock sits about 43% below its high.

The market appears to believe some combination of: (1) the supply problem will last into 2027 and may get worse before it gets better (management itself said resolution comes “2027 at the earliest,” and re-qualifying aerospace casting suppliers typically takes 12–24 months); (2) guidance from this team cannot yet be trusted, since the cut came weeks after they marketed \$16 billion of bonds on the old plan; and (3) the leverage deserves a meaningful discount to cleaner-balance-sheet peers. The CNBC

Investing Club publicly downgraded the stock on August 5, which adds a retail-flow headwind. Sell-side price targets (~\$239 average, Buy-rated) are mostly stale, set before the cut.

Why we might have edge

- **The peer gap is large and specific.** At $\sim 13.4\times$ enterprise value to cash operating earnings, HONA trades 25–50% below GE Aerospace (28.2 $\times$), Safran (18.6 $\times$), and RTX ($\sim 18.5\times$) — figures our second bench verified the same week. Even granting a leverage discount, that gap prices in a lot of pessimism against freshly *cut* (i.e., de-risked) numbers.
- **The problem is narrow and demand-side intact.** The constraint is $\sim 2\%$ of suppliers. Backlog grew. Deferred aftermarket revenue in aerospace historically comes back — planes must be maintained.
- **The balance sheet is levered, not impaired.** Operating profit covers interest about 5.5 times over, and management still guides to \$1.0–1.5 billion of free cash flow in the second half — roughly \$2–3 billion a year of debt-paydown capacity. This is a company that can grow into its debt.
- **Forced and sentiment-driven selling is plausible.** A six-week-old ticker sliding from the start is also the classic window in which index funds and inherited holders sell regardless of price — the tape is consistent with rejection *or* mechanical selling; it doesn't prove the bearish read.
- **Insider signal is about to become informative.** Executives were in a blackout from the June 29 spin through the first report. Now the window is open: any open-market purchases from here are real information (the CEO's direct stake is tiny — 2,261 shares — and his options are struck at \$190.51, so he has reason to care).

Why it might be priced in

- **The discount has identifiable causes.** Leverage of $\sim 2.9\times$ versus peers' 1–2 $\times$, plus a management team that is now twice-burned on credibility (Investor Day, then the bond roadshow, then the cut), can justify most or all of a 25–50% multiple gap. “Cheaper than GE” is not automatically mispricing.
- **There is no dated catalyst.** The fix arrives “2027 at the earliest,” the repair is expensive (tooling spend must double, and there was an inventory write-down taken even alongside the record backlog), and first cuts in supply-chain stories have a poor base rate — a second cut into the November 4 report is a live risk with no hedge.
- **The panic price is gone.** The stock has already bounced $\sim 8\text{--}12\%$ off the low; roughly a third of the crash-day move retraced before we could act. Our evidence pack's price (\$156.47) was stale by the time the benches checked — the live mark was \$168.51.
- **The demand numbers are management's numbers.** Backlog and order growth are company-reported metrics, not audited line items (true of all aerospace peers, but still — the deferral thesis rests on them).

What we checked ourselves

Claim	How checked	Found	Confirmed?
Original brief: “~\$49.6B market cap” as the valuation base	Red bench pulled spin financing filings and press releases	HONA issued \$16.0B of senior notes at the spin and paid \$15.1B to Honeywell; our own brief priced the company with no debt at all — its valuation math was wrong, and this violated our standing rule to pull the capital structure before any per-share claim	Confirmed — our brief erred
Red bench: “including debt, HONA trades at a full aerospace multiple; no mispricing left”	Blue bench ran the peer comparison red invoked but never performed	At \$168.51, HONA $\approx 21.7\times$ forward earnings / $13.4\times$ EV-to-cash-earnings vs GE $40.7\times/28.2\times$, Safran $36.1\times/18.6\times$, RTX $\sim 30\times/18.5\times$ — HONA is 25–50% <i>below</i> every pure-play peer	Overtured — red bench erred
Red bench: interest expense “explains most” of the –70% net-income drop	Blue bench math from the Q2 release	~\$200M/quarter interest (~\$155M after tax) explains only ~26% of the \$596M decline	Overstated — red bench erred
Net debt and interest burden	Q2 earnings release balance sheet (primary: PRNewswire/Honeywell Aerospace Q2 release)	Long-term debt \$15,849M, cash \$1,057M → net debt $\approx$ \$14.8B; interest consistent with 4.30%/4.95%/5.732% coupons (notes pricing PR)	Confirmed
Guidance cut size vs expectations	Multiple outlets against the LSEG consensus	New guide \$7.60–7.90 vs \$8.86 consensus = an 11–14% cut; the net stock move is roughly proportionate, not an overreaction	Confirmed
“One-day overreaction” framing in the original brief	Evidence-pack tape history	The stock fell 31.6% over six weeks before the report; the print extended an existing slide — our brief’s tape history was false	Confirmed — our brief erred
Our evidence pack’s live price	Cross-checked against live quote services	Pack showed \$156.47; live was \$168.51 (+7.7%) — our own data pipeline served a stale price	Confirmed — our pack erred
“No audited financials exist” (red bench)	Blue bench traced the data gap	The empty financials in our pack are an artifact of our pipeline not yet handling the new SEC filer ID; the spin’s Form 10 contains audited carve-out financials, and a 10-Q exists (unread)	Reduced — partly our pipeline’s error
“No insider buying” (red bench)	Blue bench checked the trading-window rules	Executives were in blackout from the spin through the first report; the 15 recent Form 4 filings are routine spin grants and vestings. Absence of buys carried near-zero information — until now	Reduced
Supply-fix timeline	Management commentary via press coverage	“2027 at the earliest”; casting re-qualification typically 12–24 months; tooling spend must double	Confirmed
Leverage vs peers (new finding, missed by both)	Blue bench computation	Net debt $\approx 2.9\times$ cash operating earnings vs $\sim 1\text{--}2\times$ at peers; but interest covered	Confirmed

Claim	How checked	Found	Confirmed?
our brief and red)		~5.5× and \$2–3B/yr of paydown capacity	

PROPOSED ENTRY BANDS

The courts say **no entry at today's ~\$168.51**. Reopen conditions, taken from the benches' own math:

- **Price gate (either bench's flip level):** at or below ~\$152, buy a **starter of no more than 1.5% of the book** — but only after verifying live, at the moment of trigger, that the forward P/E is genuinely below 17× on the current \$7.60–7.90 guidance (i.e., the guide hasn't been cut again in the meantime). Do not buy the alert; buy the verified condition.
- **Event gate (no price condition):** after the **Q3 report, expected November 4, 2026** (date is derived from data feeds, not yet confirmed by a company press release), buy the same ≤1.5% starter **at market** if all three hold: organic growth 4–5%, free cash flow on track for the guided \$1.0–1.5B second half, and no further guidance cut.
- **Accelerant (either gate):** meaningful **open-market insider purchases** — the blackout just ended, so buys from here are informative. This upgrades conviction and can justify acting at the top of the price band rather than waiting.
- **Adds:** none pre-authorized. A starter that works must come back through the court with the Q3 numbers before sizing past 1.5%.
- **Exits/trimms if entered:** a **second guidance cut invalidates the thesis** — exit rather than average down, because it confirms the “twice-unreliable guidance” kill case. No other trimms defined; this is an entry-discipline situation, not a position-management one.
- **Why these levels:** \$152 ≈ forward P/E of 17× is the level the skeptical bench itself named as where it would change its mind; the peer gap (HONA 25–50% below GE/Safran/RTX) is the upside case; the 2.9× leverage and second-cut risk are why the starter is capped small.

ARMED SENSORS

- price alert: fires below 152.0 (court gate: starter ≤1.5% at fwd P/E <17x — verify live at trigger)
- dated pack HONA|2026-11-04: HONA Q3: HIT = organic 4-5% held AND FCF held AND no further guide cut. RESOLVE: python3 -m desk.calibration resolve HONA FAVORABLE|UNFAVORA

Missing sensors the courts imply — recommend arming:

- **Insider open-market-buy watch:** monitor new Form 4 filings for *purchases* (not grants/vestings) now that the blackout has lifted — both benches flagged this as the highest-information near-term signal, and nothing currently watches for it.
- **Earnings-date confirmation watch:** the November 4 date is feed-derived and unconfirmed; watch company press releases and confirm or correct the dated pack when the company names

the date.

- **10-Q verification task:** the Q2 10-Q exists but was never read by either bench; verify net debt (~\$14.8B), the maturity schedule, and any covenant terms — red’s stated flip condition includes “net debt materially under \$15B.”
- **Casting-supplier progress proxy:** job-posting activity at the constrained casting suppliers (our standard plant-ramp method) as a leading indicator of the fix landing before 2027 — red explicitly named this as evidence that would change its mind, and it is not armed.
- **Guidance-revision watch between now and the print:** any interim 8-K or conference remark cutting guidance again should immediately invalidate the \$152 price gate rather than letting the alert fire into a broken thesis.

What remains unverified

- **The Q2 10-Q has not been read** by anyone on our side; the \$14.8B net-debt figure comes from the earnings press release, not the filing itself. Exact maturity schedule and covenants unknown.
- **The November 4 earnings date** is derived from a data feed and not confirmed by the company.
- **The ~\$5.1B cash-operating-earnings figure** underlying the 13.4× multiple is a bench estimate, not a company-guided number.
- **Peer multiples** (GE, Safran, RTX) were taken from aggregator sites, not computed from primary filings.
- **Actual progress at the casting suppliers** — the entire “deferred, not destroyed” thesis — rests on management commentary; no independent verification (supplier qualifications, hiring activity) has been done yet.
- **Backlog (+9%) and orders (+8%)** are management-reported metrics; standard for the sector, but no audited standalone quarterly history exists yet for this company, and our own data pipeline cannot yet ingest its filings (the empty financials in our evidence pack were our artifact, not the company’s).
- SEC endpoints returned access errors during the court session and our broker connection lacked permission, so the tape rests on the evidence pack plus web quotes — including the discovered staleness (\$156.47 vs. \$168.51), which itself argues for re-verifying price live at any trigger.